

Hamara Lite

Bajaj's Rs 1.3-lakh car will hit the roads in 2010 and deliver 35 kmpl

For decades, Bajaj Auto produced two-wheelers which were used like a family car and even christened Chunnu Munnu *de papa di gaddi*. So it is natural that as Indians upgrade from two- to four-wheelers, Bajaj should build a prototype that will fit Chunnu, Munnu, their mom and papaji. The prototype, in true Bajaj tradition, is completely indigenous and designed as a complete package. The idea, says Bajaj Auto Managing Director Rajiv Bajaj, is not to focus too much on the upfront price, but on ensuring low running cost by delivering high fuel efficiency. "We have done this with bikes and we are confident we can deliver on four-wheelers too," he says. Bajaj is conducting feasibility discussions with Renault-Nissan on the world car that could be a goods carrier, an ambulance or a passenger vehicle. It will, however, be a Bajaj idea, as Renault-Nissan CEO Carlos Ghosn has told them that he "doesn't want to pollute their thinking". While a date hasn't been fixed for the launch, the car is likely to hit roads in 2010.

Bajaj Auto was among the early birds in the quest for a small car and had raised capital through a global depository receipt in 1994. Subsequent discussions with Chrysler and Renault were called off. Rajiv, though, seems to have found a viable formula. So, is the entry into the four-wheeler segment a tacit signal that two-wheelers face a dead-end? Rajiv scoffs at the suggestion. According to him, people are mixing form and content and "the skills required to build a four-wheeler are not very different from those required to build two-wheelers. We understand the technology, have delivered on value-for-money products and believe we can use our expertise to build cars. If we were making a 1,000cc bike which is far more complex, nobody would have raised questions as it would not be seen as a discontinuous process." One of the bikes being launched by Bajaj Auto this year is the 690cc KTM Duke, which has the capacity of a small car. There is no disconnect with the market either. Bajaj Auto sells over 3 lakh three-wheelers. The car is just an extension that will be produced at their plants, engineered by existing skill sets, funded by the legendary Bajaj deep pocket and dealer network. Companies evolve by tapping into new geographies and developing new products. The four-wheel drive, says Rajiv, is one baby step in that evolution.

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tion had employed every trick, including fielding photographers to get a view of the car, but failed, even though the car was tested around Pune and elsewhere in the country. When it was finally unveiled, it was a pleasant surprise. Amidst the dizzying exhilaration, executives at Tata Motors are taking a reality check. It is still early days. The big challenge is to roll out the car, monitor its performance and meet expectations. Low cost is not necessarily a formula for success, as the dipping sales of the Maruti 800 prove, and there could be teething and even critical issues, as was the case with Indica.

Other worries include the battle of perception being waged by environmentalists and competitors. Of course, the rant about congestion is arithmetically flawed because it would take years for Tata Motors to manufacture millions of cars to jam the roads. As of now, the best they can do at full capacity is 2.5 lakh cars, and that is less than half of the total planned capacity expansion in other car plants. The growth of the two-wheeler and car markets is an indictment of the failure of the public transport system. It is true that there is a dire need to improve the road network, but that is no argument to deny those at the lower levels of the pyramid the opportunity to improve the quality of their lives. There is concern among ratings agencies and analysts about its profitability. But Tata believes that scale will deliver.

You could argue that the car is "late", that metro consumers are gravitating to more "featured cars", but the Nano is aimed at a different segment and would appeal to youth, women and second car aspirants. In rural and semi-urban India, where people travel in anything from tractors to *jugads*, the car could well be a hit. By the end of the year, Tata Motors would have put together a financing scheme and designed a new distribution system for rural and semi-urban markets. It is this potential that makes the Nano Ratan's road revolution. And what better place to launch the Indian revolution than amidst a dozen stunned multinationals parked at the Auto Expo.

with Malini Bhupta